IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CP (CAA) NO 12 / ALD / 2022
Connected with
CA (CAA) No. 04 /ALD of 2022
(Final Motion)

Under Section 230 to 232 And Other Applicable Provisions of the Companies Act, 2013 Read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

IN THE MATTER OF SCHEME OF ARRANGEMENT BETWEEN:

NIHON IMPEX PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 and having its Registered Office at FLAT NO 502, GOKUL COLONY DILEZAKPUR, GORAKHPUR- 273001 in State of Uttar Pradesh.

*******DEMERGED COMPANY/ PETITIONER NO. 1**

And

GALLANTT INDUSTRY PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 2013 and having its Registered Office at 8TH FLOOR GALLANTT LAND MARK BANK ROAD GORAKHPUR - 273001 in State of Uttar Pradesh.

******* RESULTING COMPANY NO 1 / PETITIONER NO. 2**

And

GALLANTT UDHYOG PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 2013 and having its Registered Office at 8TH FLOOR GALLANTT LAND MARK BANK ROAD GORAKHPUR- 273001 in State of Uttar Pradesh.

******* RESULTING COMPANY NO 2 / PETITIONER NO. 3**

And

SHREE SURABHI WHEAT PRODUCTS PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 2013 and having its Registered Office at GALLANTT LANDMARK, PURDILPUR, BANK ROAD, GORAKHPUR- 273001 in State of Uttar Pradesh.

******* RESULTING COMPANY NO 3 / PETITIONER NO. 4**

And

SHREE SURABHI FLOUR MILLS PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 2013 and having its Registered Office at GALLANTT LANDMARK, PURDILPUR, BANK ROAD, GORAKHPUR – 273001 in State of Uttar Pradesh.

******* RESULTING COMPANY NO 4 / PETITIONER NO. 5**

And

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GALLANTT LIFESPACE DEVLOPERS PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 2013 and having its Registered Office at VILLA NO-4, SHALIMAR GRAND 10 JOPLING ROAD LUCKNOW-226001 in State of Uttar Pradesh within the aforesaid jurisdiction

*******RESULTING COMPANY NO.5/ PETITIONER NO. 6**

Order delivered on 05.04.2023

CORAM: Hon'ble Mr. Praveen Gupta, Member (Judicial)
Hon'ble Mr. Ashish Verma, Member (Technical)

For the Petitioner Companies	:	Ms. Aisha Amin, Advocate Mr. N. Gurumurthy, FCA
For the O.L. Alld./ RD (NR)	:	Sh. Ajit Singh Singh, OL
For the I.T. Deptt.	:	Sh. Gaurav Mahajan, Sr. Standing Counsel
For the ROC, Kanpur	:	Sh. Krishna Dev Vyas, Adv.

ORDER

Per: Praveen Gupta Member (Judicial)

1. It is submitted by the Ld. Counsel for the Petitioners that the instant Company Petition has been filed in the second stage of the proceedings under Section 230(6) read with Section 232(3) of the Companies Act, 2013 ("Act") for sanction and confirmation of the Scheme of Arrangement :

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(a) By transfer and vesting of CEMENT DIVISION of NIHON IMPEX PRIVATE LIMITED being the Petitioner No. 1 above named (" Demerged Company " or "Petitioner No.1") into GALLANTT INDUSTRY PRIVATE LIMITED being the Petitioner No. 2 above named (" Resulting Company No 1 " or "Petitioner No.2")

(b) By transfer and vesting of AGRO PROCESSING DIVISION of NIHON IMPEX PRIVATE LIMITED being the Petitioner No. 1 above named (" Demerged Company " or "Petitioner No.1") into GALLANTT UDHYOG PRIVATE LIMITED being the Petitioner No. 3 above named (" Resulting Company No 2 " or "Petitioner No.3")

(c) By transfer and vesting of AGRO TRADING DIVISION of NIHON IMPEX PRIVATE LIMITED being the Petitioner No. 1 above named (" Demerged Company " or "Petitioner No.1") into SHREE SURABHI WHEAT PRODUCTS PRIVATE LIMITED being the Petitioner No. 4 above named (" Resulting Company No 3 " or "Petitioner No.4")

(d) By transfer and vesting of AGRO PROCESSING DIVISION of NIHON IMPEX PRIVATE LIMITED being the Petitioner No. 1 above named (" Demerged Company " or "Petitioner No.1") into SHREE SURABHI FLOUR MILLS PRIVATE LIMITED being the Petitioner No. 5 above named (" Resulting Company No 4 " or "Petitioner No.5")

(e) By transfer and vesting of REAL ESTATE & INFRASTRUCTURE DIVISION of NIHON IMPEX PRIVATE LIMITED being the Petitioner No. 1 above named (" Demerged Company " or "Petitioner No.1") into GALLANTT LIFESPACE DEVLOPERS PRIVATE LIMITED

being the Petitioner No. 6 above named (" Resulting Company No 5 " or "Petitioner No.6 ")

with Appointed Date, 01st November,2021 in the manner and on the terms and conditions stated in the said Scheme of Arrangement ("Scheme"). A copy of the said Scheme is annexed to the Company Petition marked – ANNEXURE – A in VOL I at Page No 96 to 174.

2. The Petitioner Companies have prayed for sanctioning of the Scheme of Arrangement in the Company Petition and direction for service notices to be issued to the authorities concerned in relation to the date of hearing of the Company Petition and calling for objections.

3. The First Motion application seeking directions of this Tribunal to dispense with the requirement of convening the meetings of Equity Shareholders of the Demerged Company and Resulting Companies and Unsecured Creditors of the Demerged Company and Resulting Company No 1, Resulting Company No 2, Resulting Company No 3 and Resulting Company No 4 ; recording there is no requirement of meeting Secured Creditors and Unsecured Creditors of Resulting Company No 5 ; to convene separate meetings physically of Secured Creditors of Demerged Company and Resulting Company No 1 , Resulting Company No 2, Resulting Company No 3 and Resulting Company No 4 to be held at the venue , on the date and time mentioned in the order .Accordingly, this Tribunal vide its order dated 20th April, 2022 (date of pronouncement), allowed the above mentioned prayers.

4. The rationale of the Scheme is given below:

a) Nihon is, inter alia, engaged in the following activities:

i. Financing and Investment Business comprising of lending activities for earning interest income and investment in securities;

ii. Real Estate and Business comprising of financing, broking and dealing in related to construction and development of land and real estate projects etc.

iii. Business of buyers, seller, trader, merchants brokers, agents, commission agents of cement, food grains, flour and any other related items and in connection therewith

b) GIPL is engaged in the business of manufacturing, producing and selling cement and cement related allied products. Its manufacturing facilities are being set up at Gorakhpur Industrial Development Authority (GIDA), Sahjanwa, Gorakhpur, Uttar Pradesh. GIPL is a Wholly Owned Subsidiary of Nihon. Nihon holds entire shareholding of GIPL.

c) GUPL is engaged in the business of milling wheat, gram and other grains and cereals, dal, besan, maida, atta, suji and other allied products and to manufacture any bye-products. Its manufacturing facilities are at Gorakhpur Industrial Development Authority (GIDA), Sahjanwa, Gorakhpur, Uttar Pradesh. GUPL is a Wholly Owned Subsidiary of Nihon. Nihon holds entire shareholding of GUPL.

d) Surabhi Wheat is engaged in the business of manufacturing, producing and selling agro products like Flour, Maida, Bran etc. Its manufacturing facilities are at Chipali Post-Karmansha 821005, Durganti, Bihar. Surabhi Wheat is a Subsidiary of Nihon and Nihon holds 49.98% shares of Surabhi Wheat.

e) Surabhi Flour is engaged in the business of manufacturing, producing and selling agro products like Flour, Maida, Bran etc. Its manufacturing facilities are at Subdeiyakla, Basti, Uttar Pradesh – 272002. Surabhi Flour is a Subsidiary of Nihon and Nihon holds 49.88% shares of Surabhi Flour.

f) GLDPL is engaged in the business of Real Estate Business comprising of construction and development of land and real estate projects, acquiring land / building / property of any nature and providing such land / building / property on lease. GLDPL is a Subsidiary of Nihon. Nihon holds 56.92% shareholding of GLDPL.

g) Currently, Nihon is engaged in multiple businesses of investment and financing i.e. NBFC, Investment in shares and securities, Investment in different business segments like Real Estate, Agro, Cement etc. Nihon has several business divisions like "Cement Division", "Agro Processing Division", "Agro Trading Division", "Agro Marketing & Broking Division", "Real Estate & Infrastructure Division" AND "General NBFC Division".

h) The management of Nihon has observed that running multiple businesses under single entity i.e. Nihon restricts independent growth and expansion of each of the said businesses and the ability to attract investors catering to specific business out of the above. Hence, it is proposed to segregate different businesses i.e. investment in Real Estate Business, Agro, Cement on one hand and Financing and Investment Business on the other and demerge them into different companies which will result in focused management on each of the businesses being housed under separate entities, thereby creating opportunities of independent expansion of businesses as may be envisaged from time to time.

i) GIPL and GUPL are the Wholly Owned Subsidiaries of Nihon and hence, entire shareholding of GIPL and GUPL is held by Nihon.

j) Accordingly, a Scheme of Arrangement has been sought to demerge the "Cement Division", "Agro Processing Division", "Agro Trading Division", "Agro Marketing & Broking Division", "Real Estate & Infrastructure Division" of Nihon on a going concern basis into GIPL, GUPL, Surabhi Wheat, Surabhi Flour and GLDPL.

5. A perusal of the present Petition discloses that in pursuance of the directions contained in Order dated 20th April, 2022 (date of pronouncement), passed by this Tribunal in Company Application No. 04/ALD of 2022, separate meetings of Secured Creditors of Demerged Company and Resulting Company No 1 , Resulting Company No 2, Resulting Company No 3 and Resulting Company No 4 were duly convened physically and held on Wednesday 15th June, 2022 as per the following Schedule:

Sl. No.	Particulars	Time
1	Secured Creditors of Demerged Company	10.00 a.m.
2	Secured Creditors of Resulting Company No 1	11.00 a.m.
3	Secured Creditors of Resulting Company No 2	12.00 p.m.
4	Secured Creditors of Resulting Company No 3	01.00 p.m.
5	Secured Creditors of Resulting Company No 4	02.00 p.m.

The Scheme of Arrangement was considered and approved by the Secured Creditors at their respective meetings without any modifications. The common Chairperson appointed for the said meetings has filed his Reports on the meeting under diary No 0902109001122022 on 05-07-2022.

6. Notice of the Company Application / Scheme of Arrangement was also given to the Statutory Authorities-RD, ROC, Official Liquidator,

Reserve Bank of India and Income Tax Department. Necessary Compliance Affidavit dated 09-06-2022 was filed by the Applicant Companies in this regard under diary no 0902109001122022 on 11-06-2022.

7. This Tribunal vide its order dated 19th July, 2022 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in "Financial Express" (English) and " Rashtriya Sahara" (Hindi) both Gorakhpur Editions .

8. In compliance thereof, the Petitioner Companies have filed Affidavit of service and publication vide diary no. 0902109001122022 on 06-09-2022 confirming that notices have been duly published in **"**Financial Express" (English) and " Rashtriya Sahara" (Hindi) both Gorakhpur Editions. The Petitioner Companies have also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; (d) the Income Tax Department; (e) Reserve Bank of India.

9. In response to the abovementioned notices, the statutory authorities have furnished their replies.

9.1 **Registrar of Companies**

In response to the above stated notice, the Registrar of Companies, Ministry of Corporate Affairs, Kanpur, Uttar Pradesh has submitted its Report dated 13th October, 2022 to the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi. No objection has been raised by the Registrar of Companies on the Scheme of Arrangement.

9.2 **Regional Director**

In response to the above stated notice, the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi has filed his Representation Affidavit dated 28thNovember, 2022 ("**RD affidavit**") which has been dealt with by the Petitioner(s) by their Reply affidavits dated 09th December, 2022 ("**Reply"**). The Petitioner Companies have filed Reply Affidavits vide Diary No. 0902109004662022 dated 12-12-2022.The observations of the RD and responses of the Petitioner Companies are summarized as under:

Para 11of the RD Affidavit

That as per the Report of ROC, the Demerged Company is a NBFC Company, however, No Objection Certificate has been furnished by the Demerged Company. The Company has also served notice to RBI. The Company may be directed to furnish NOC from RBI being the regulator of NBFC Companies.

Para 3 of the Reply Affidavit filed by the Petitioners

That the Deponents submits that the Petitioners hereby offer clarification to the observation made by the Regional Director, Northern Region as below:

a. That in the first place it is a Scheme of Arrangement and not a Scheme of Amalgamation.
b. That the Demerged Company which is the only NBFC Company in the Scheme will remain and continue to remain a NBFC Company.
c. That no shares are allotted by the Demerged Company on the contrary shares are allotted by the Resulting Companies to the Shareholders of the Demerged Company.

d. That there is no change in the shareholding pattern of the Demerged Company prior to and post arrangement as no shares will be allotted by the Demerged Company.

e. That there is no change in the management of the Demerged Company post arrangement as the Directors of the Demerged Company who were previously there shall continue to be director post arrangement.

f. That the Reserve Bank of India vide its Circular DNBR (PD) CC. No. 065/03.10.001/2015-16 July 09, 2015 has categorically made it clear Paragraph 2(b) and 2(c) that its prior approval is not required in the following instances:

PARA 2(b)

"any change in the shareholding of an NBFC, including progressive increases over time, which would result in acquisition/ transfer of shareholding of 26 per cent or more of the paid up equity capital of the NBFC. Prior approval would, however, not be required in case of any shareholding going beyond 26% due to buyback of shares/ reduction in capital where it has approval of a competent Court. The same is however required to be reported to the Reserve Bank not later than one month from its occurrence;

PARA 2(c)

"any change in the management of the NBFC which would result in change in more than 30 per cent of the directors, excluding independent directors. Prior approval would not be required for those directors who get re-elected on retirement by rotation. "

Copy of the said Circular issued by the Reserve bank of India is annexed and marked – ANNEXURE – A.

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g. That pursuant to the aforesaid circular issued by the Reserve Bank of India no prior approval of the Bank is required in the instant case but the Bank has to be duly informed and updated which is being done by the Demerged Company.

9.3 **Official Liquidator**

The Report of the Official Liquidator is not required as it is a Scheme of arrangement.

9.4 **Income Tax Department**

In response to the notices served, the Income Tax Department has furnished its comments / reports and the Petitioner Companies have filed Reply Affidavits vide Diary No. 0902109004662022 dated 25th February, 2023. The observation of the Income Tax Department and following submissions made by Petitioner Companies:

As observed in Paragraph 6 by the Income Tax Department

That the jurisdiction over the Resulting Company No. 5 Gallant Lifespace Developers Private Limited does not vest with Asstt. Commissioner of Income Tax, Circle-1. Gorakhpur as such no comments can be offered in respect of Resulting Company No. 5.

Reply to Observation made at Paragraph 6 by the Petitioners

In response to the notice served on Income Tax Department vide notice dated 02.08.2022, NOC was received from Income Tax Department directly by this Adjudicating Authority as there are no outstanding demand in respect of Resulting Company No 5, Gallant Lifespace Developers Private Limited, vide letter no. ITBA/COM/F/17/2022-23/1046443977(1) dated 21.10.2022. A copy of the same letter was also served directly to deponents by the Income Tax Department

As observed in Paragraph 7 by the Income Tax Department

That after perusal of the assessment records of Nihon Impex Private Limited (Demerged Company) maintained by the Income Tax Department on ITBA, the following facts emerge which clearly reflect that there are outstanding demands as on the date of filing of the present affidavit, as per the table below.

Sl. No	A.Y.	Section of IT Act Under which order has been passed	Date of Order	Outstanding Demand (Rs.)
1	2013-14	147	21-09-2021	8,72,910 + Interest
2	2014-15	147	30-03-2022	1,99,23,940 + Interest
3	2014-15	271(1)(b)	28-08-2022	10,000 + Interest
4	2015-16	147	30-03-2022	2,63,44,560 + Interest
5	2018-19	143(1)(a)	02-07-2019	75,570 + Interest
6	2021-22	143(1)(a)	14-10-2022	93,290 + Interest

As observed in Paragraph 8 by the Income Tax Department

That apart from above penalty proceedings against Nihon Impex Private Limited (Demerged Company) are also pending the details of which are mentioned here under:-

Sl. No	Assessment Year	Section under which penalty proceedings are pending
1	2013-14	271(1)(c) of the I.T. Act
2	2014-15	271(1)(c) of the I.T. Act
3	2015-16	271(1)(c) of the I.T. Act

Reply to Observation made at Paragraph 7 and Paragraph 8 by the Petitioners

As observed in Paragraph 7 and Paragraph 8

The Deponents are to say as in respect of Paragraph 7 and Paragraph 8 of the observation made as below:

IN NIHON IMPEX PRIVATE LIMITED

RE: ASSESSMENT YEAR 2013-2014

SECTION – 147

DEMAND RS 18,49,173/ + INTEREST

(AS PER AFFIDAVIT RS 8,72,910 / + INTEREST)

DATE OF PASSING OF ORDER 21-09-2021

The Petitioner Company has paid Tax assessed on 28-09-2021. Copy of the Challan evidencing such payment is annexed marked - ANNEXURE – C.

However, the said Petitioner Company has preferred Appeal against the said order passed by the Assessing Officer.

Copy of the Appeal filed is annexed and marked – ANNEXURE – D.

As regards Penal Proceedings, they have been stayed till the disposal of the Appeal by the appropriate authority. Paragraph 6 of the Statement of Facts.

RE: ASSESSMENT YEAR 2014 -2015

SECTION – 147

DEMAND RS 2,16,90,454/ + INTEREST

(AS PER AFFIDAVIT RS 1,99,23,940/ + INTEREST)

DATE OF PASSING OF ORDER 30-03-2022

The said Petitioner Company has preferred Appeal against the said order passed by the Assessing Officer.

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Copy of the Appeal filed is annexed and marked – ANNEXURE – E.

Further, the said Petitioner Company has also filed Petition under Section 154 of the Income Tax Act, with respect to the order passed.

As regards Penal Proceedings, they have been stayed till the disposal of the Appeal by the appropriate authority.

Paragraph 6 of the Statement of Facts.

RE: ASSESSMENT YEAR 2014 -2015

SECTION – 271(1)(b)

DEMAND RS 10,000/ + INTEREST

DATE OF PASSING OF ORDER 23-08-2022

The Petitioner Company has made appeal to the department for dropping of penal proceeding initiated. Copy of the said letter is annexed and marked – ANNEXURE – F.

RE: ASSESSMENT YEAR 2015 -2016

SECTION – 147

DEMAND RS 2,69,56,275/ + INTEREST

(AS PER AFFIDAVIT RS 2,63,44,560/ + INTEREST)

DATE OF PASSING OF ORDER 30-03-2022

The said Petitioner Company has preferred Appeal against the said order passed by the Assessing Officer.

Copy of the Appeal filed is annexed and marked – ANNEXURE G.

As regards Penal Proceedings, they have been stayed till the disposal of the Appeal by the appropriate authority.

Paragraph 6 of the Statement of Facts.

RE: ASSESSMENT YEAR 2018 -2019

SECTION – 143(1)(a)

DEMAND RS 75,570/ + INTEREST

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DATE OF PASSING OF ORDER 02-07-2019

The said Petitioner Company has disagreed with the demand raised by the Income Tax Department on the following grounds:

" During the year assesse had received dividend Rs 2,65,659/ which is not taxable but the same had been taken as taxable by the department . "

Copy of the Response details filed is annexed and marked – ANNEXURE H.

RE: ASSESSMENT YEAR 2021 -2022

SECTION – 143(1)(a)

DEMAND RS 93,290/ + INTEREST

DATE OF PASSING OF ORDER 04-10-2022

The said Petitioner Company has disagreed with the demand raised by the Income Tax Department on the following grounds:

" During the year assesse had received dividend Rs 2,65,659/ which is not taxable but the same had been taken as taxable by the department . "

Copy of the Response details filed is annexed and marked – ANNEXURE I.

As observed in Paragraph 9 by the Income Tax Department

That similarly on a perusal of the assessment records of Shree Surabhi Flour Mills Pvt. Ltd. (Resulting Company No. 4) maintained by the Income Tax Department on ITBA, the following facts emerge which clearly reflect that there are outstanding demands as on the date of filing of the present affidavit, as per the table below.

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Sl. No	A.Y.	Section of IT Act Under which order has been passed	Date of Order	Outstanding Demand (Rs)
1	2019-20	143(1)(a)	27-02-2020	85,890 + Interest
2	2020-21	143(1)(a)	18-12-2021	1,46,970 + Interest
3	2021-22	143(1)(a)	24-08-2022	61,680 + Interest

Reply to Observation made at Paragraph 9 by the Petitioners

As observed in Paragraph 9

The Deponents are to say as below:

IN SHREE SURABHI FLOUR MILLS PRIVATE LIMITED

RE: ASSESSMENT YEAR 2019 -2020

SECTION – 143(1)(a)

DEMAND RS 85,890/ + INTEREST

DATE OF PASSING OF ORDER 27-02-2020

The said Petitioner Company have paid the tax demand and copy challan evidencing such payment is annexed and marked – ANNEXURE – J .

RE: ASSESSMENT YEAR 2020 - 2021

SECTION – 143(1)(a)

DEMAND RS 1,46,970/ + INTEREST

DATE OF PASSING OF ORDER 18-12-2021

The said Petitioner Company has disagreed with the demand raised by the Income Tax Department on the following grounds:

"Income Chargeable at Special rate is Rs 41,13,728/ whereas department had taken as Rs 77,71,470 / . Hence, Demand created. Please rectify the same and correct the demand. Capital Gain on

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Unlisted shares is Rs 36,57,742 / the same had been taken twice by the department and require correction . “

Copy of the Response details filed is annexed and marked – ANNEXURE K.

RE: ASSESSMENT YEAR 2021 - 2022

SECTION – 143(1)(a)

DEMAND RS 61,680/ + INTEREST

DATE OF PASSING OF ORDER 24-08-2022

The said Petitioner Company have paid the tax demand and copy challan evidencing such payment is annexed and marked – ANNEXURE – L .

As observed in Paragraph 10 by the Income Tax Department

That after perusal of the assessment records of Shree Surabhi Wheat Products Pvt. Ltd. (Resulting Company No. 3) maintained by the Income Tax Department on ITBA, there is no demand outstanding as on the date of filing of the present affidavit.

Reply to Observation made at Paragraph 10 by the Petitioners

As observed in Paragraph 10

The Deponents are to say that the Income Tax Department have confirmed that there is no outstanding demand in respect of Shree Surabhi Wheat Products Pvt. Ltd. (Resulting Company No. 3s). Hence, no reply or comments by the Deponents in respect is required.

As observed in Paragraph 11 by the Income Tax Department

That similarly after perusal of the assessment records of Gallant Industries Pvt. Ltd. (Resulting Company No. 1) maintained by the Income Tax Department on ITBA, the following facts emerge which clearly reflect that there are outstanding demands as on the date of filing of the present affidavit, as per the table below.

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Sl. No	A.Y.	Demand Section	Outstanding Demand	Date of Order
1	2021-22	143(1)(a)	Rs70,460 + Interest	24-08-2022

Reply to Observation made at Paragraph 11 by the Petitioners

As observed in Paragraph 11

The Deponents are to say as below:

IN GALLANT INDUSTRY PRIVATE LIMITED

RE: ASSESSMENT YEAR 2021-2022

SECTION – 143(1)(a)

DEMAND RS 70,460/

DATE OF PASSING OF ORDER 24-08-2022

The said Petitioner Company has disagreed with the demand raised by the Income Tax Department on the following grounds:

"Assesse claim taxation under section 115BA but the same not allowed at the time of computation of Income by the Department. "

Copy of the Response details filed is annexed and marked – ANNEXURE M.

As observed in Paragraph 12 by the Income Tax Department

That after perusal of the assessment records of Gallant Udyog Pvt. Ltd. (Resulting Company No. 2) maintained by the Income Tax Department on ITBA, there is no demand outstanding as on the date of filing of the present affidavit.

Reply to Observation made at Paragraph 12 by the Petitioners

As observed in Paragraph 12

The Deponents are to say that the Income Tax Department have confirmed that there is no outstanding demand in respect of Gallant

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Udyog Pvt. Ltd. (Resulting Company No. 2). Hence, no reply or comments by the Deponents in respect is required.

As observed in Paragraph 13 by the Income Tax Department

That interest as applicable under the provisions of the Income Tax Act on the above outstanding amount will be calculated as on the date of making payment of the outstanding amount and shall be payable by the respective Company.

Reply to Observation made at Paragraph 13 by the Petitioners

The Deponents duly authorized by the Petitioner Companies hereby undertake that Interest at applicable rates will be levied and computed by the Department on admitted Tax due and payable by the Assesse will be duly discharged by the said Petitioner Company by making payment .

As observed in Paragraph 14 by the Income Tax Department

That it is respectfully submitted that the outstanding demand of Income Tax and interest thereon has neither been disclosed nor has been paid by the respective Companies before approaching this Hon'ble Tribunal. The acceptance of the Scheme of Arrangement in its present form will be prejudicial to the interest of revenue as such, it is most humbly prayed that the Hon'ble Tribunal may be pleased to direct the respective Companies to pay the outstanding demand of Income Tax along with interest so as to protect the interest of revenue before passing any further order in respect of the Scheme of Arrangement.

Reply to Observation made at Paragraph 14 by the Petitioners

The Deponents hereby submits that they have not concealed anything in the Scheme. The Tax demand in some cases are under dispute and for which the said Petitioner Company has preferred appeal before the Appellate Appropriate. The Scheme in no way

can be said to be prejudicial to public interest merely that no disclosure of disputed tax has been made in the Scheme. It should be understood that it is a Scheme of Arrangement and not a Scheme of Amalgamation. The Companies involved are independent and would continue to exists even after the sanction of the Scheme. Tax admitted have been paid which can be seen from the portal. The sanctioning of the Scheme should not be withheld merely for non-payment of taxes which are under dispute and for which appeal has been preferred.

As observed in Paragraph 15 by the Income Tax Department

That it is, however most respectfully submitted that this Hon'ble Tribunal at the time of sanctioning of the Scheme of Arrangement may be pleased to direct that all tax assessment proceedings and appeals of what so ever nature by or against the Demerged Company pending or arising as on the Effective Date shall be continued and or enforced by or against the Demerged Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Company. Further, the aforementioned proceedings shall never abate or discontinued nor be in any way prejudicially affected by reason of the Scheme of Arrangement of the Demerged Company with the Resulting Companies or anything contained in this Scheme.

Reply to Observation made at Paragraph 15 by the Petitioners

The Deponents draw attention to the Scheme of Arrangement to Paragraph 12.2, Paragraph 23.2, Paragraph 34.2, Paragraph 45.2 and Paragraph 56.2, which clearly speaks regarding all ongoing disputes.

Paragraph 12.2

All legal and other proceedings by or against the Demerged Company under any statute that is pending till the scheme comes into force and thereafter which is relating to the Remaining Business of the Demerged Company (including those relating to any property, right, power, liability, obligation or duty, of the Demerged Company in respect of the Remaining Business of the Demerged Company) ***shall be continued and enforced by or against the Demerged Company***.

The Deponents have not reproduced Paragraph 23.2, Paragraph 34.2, Paragraph 45.2 and Paragraph 56.2 being repetitive in nature.

As observed in Paragraph 16 by the Income Tax Department

That it is further most respectfully submitted that this Hon'ble Tribunal at the time of sanctioning of the Scheme of Arrangement may be pleased to direct that all taxes (including, without limitation, Income tax, wealth tax, sales tax, purchase tax, excise duty, customs duty. service tax, value added tax, goods and services tax etc.) paid or payable by the Demerged Company in respect of the operations and/ or the profits of the Demerged Company before the Appointed Date, shall be on account of the Demerged Company and, in so far as it relates to the tax payment (including, without limitation, income tax, wealth tax, sales tax, purchase tax, excise duty, customs duty, service tax, value added tax, goods and service tax etc.) whether by way of deduction at source, advances tax or otherwise howsoever, by the Resulting Company in respect of the profits or activities or operation of the Resulting Company with effect from the Appointed Date, the same shall be deemed to be the corresponding tax/duty paid by the

Demerged Company, and, shall in all proceedings, be dealt with accordingly.

Reply to Observation made at Paragraph 16 by the Petitioners

The Deponents draw attention to the Scheme of Arrangement to Paragraph 10, Paragraph 21, Paragraph 32, Paragraph 43 and Paragraph 54, which clearly speaks regarding all ongoing disputes

Paragraph 10
COMPLIANCE WITH TAX LAWS

Upon the scheme coming into force;

10.1 The Demerged Company and the Resulting Company 1 are expressly permitted to revise, its financial statements and returns along with prescribed forms, filings and annexures under the IT Act, goods and service tax law, and other tax laws, and to claim refunds and/or credits for taxes paid, and to claim tax benefits etc. and for matters incidental thereto, if required to give effect to the provisions of the Scheme from the Appointed Date.

10.2 Any refund under the Customs Act 1962, applicable GST, State Value Added Tax laws or other applicable laws/ regulations dealing with indirect taxes/ duties/ levies allocable or related to the Cement Division of Demerged Company and due to Demerged Company consequent to the assessment made on Demerged Company for which no credit is taken in the accounts as on the date immediately preceding the Appointed Date shall also belong to and be received by the Resulting Company 1.

10.3 Obligation for deduction of tax at source on any payment relating to the Cement Division made by or to be made by the Demerged Company under the IT Act, customs law, state

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value added tax, goods and service tax or other applicable laws / regulations dealing with taxes/ duties / levies on or after Appointed Date shall be made or deemed to have been made and duly complied with by the Resulting Company 1.

10.4 Without prejudice to the generality of the above, all benefits, incentives, tax losses, credits (including, without limitation, applicable state value added tax, goods and service tax, tax deducted as source etc.) relating to the Cement Division shall be available to and vest in the Resulting Company 1.

The Deponents have not reproduced Paragraph 21, Paragraph 32, Paragraph 43 and Paragraph 54 being repetitive in nature.

As observed in Paragraph 17 by the Income Tax Department

That it is therefore, most humbly prayed that the above narrated facts may kindly be considered to safeguard the interest of the Department by directing the Demerged Company to pay the Income Tax dues along with interest and or to provide security in the form of Bank Guarantee for the same so as to do justice to the Department before taking a decision in the matter of sanction of Scheme of Arrangement u/s 230 to 232 of the Companies Act, 2013 as enclosed in the Company Petition.

Reply to Observation made at Paragraph 15 by the Petitioners

The Deponents are to say that in cases where the tax demanded by the department are not in agreement with the Petitioner Company , the said Petitioner Company has preferred appeal before the adjudicating authority for the same .

The Deponents duly authorized further hereby undertakes that the said Petitioner Company namely –NIHON IMPEX PRIVATE LIMITED / DEMERGED COMPANY, GALLANTT INDUSTRY PRIVATE LIMITED / RESULTING COMPANY NO 1 and SHREE

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SURABHI FLOUR MILLS PRIVATE LIMITED / RESULTING COMPANY NO 4 shall upon final resolution of the disputed tax by the ultimate adjudicating authority shall pay the tax together with interest.

Further, the said Petitioner Company has filed Petition before the appropriate authority for stay of demand. Copy of the said Petition is annexed and marked – ANNEXURE - M

Considering the submission made the sanctioning of the Scheme should not be withheld merely on account of outstanding tax demand which is under dispute and for which appeal has preferred.

10. We have gone through the reports of the Registrar of Companies, Uttar Pradesh, Kanpur, Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Official Liquidator, Ministry of Corporate Affairs, Allahabad, The Income Tax Department and the Reply Affidavits filed by the Petitioner Companies and after perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

11. The certificate of the Statutory Auditors with respect to the Scheme between Petitioner Companies to the effect that the accounting treatment proposed in the Scheme is in compliance with applicable Indian Accounting Standards as specified in Section 133 of the Act, read with rules there under and other Generally Accepted Accounting Principles.

12. The Scheme contemplated between the Petitioner Companies, appears to be prima facie in compliance with all the requirements stipulated under the relevant Sections of Companies Act, 2013. In the absence of any further objections before us and since all the requisite statutory

compliance have been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure-1 with the company petition.

13. In the result, the proposed Composite Scheme of Arrangement, which is annexed to the Company Petition stands approved and sanctioned. The Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Scheme and the same shall be binding on all the Shareholders and Creditors of the above-named Petitioner Companies and also on the Petitioner Companies with effect from the Appointed Date, i.e., 01.11.2021

14. While approving the scheme as above, it is clarified that the Demerged Company and the Resulting Company shall be bound by terms of undertaking given in response to the observation of all Statutory Authorities.

15. Notwithstanding the submission that no investigation is pending against the Petitioner Companies, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

16. While approving the scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

17. **THIS TRIBUNAL DO FURTHER ORDER:**

a. The Scheme of Arrangement mentioned in this Petition being Annexure "A" inter alia which provides for :

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a) Cement Division of NIHON IMPEX PVT LTD / DEMERGED COMPANY/PETITIONOR NO.1 by transferring and vesting the same to GALLANTT INDUSTRY PRIVATE LIMITED/RESULTING COMPANY NO.1/ PETITIONOR NO.2 of the Scheme.

b) Agro Processing Division of NIHON IMPEX PVT LTD / DEMERGED COMPANY/PETITIONOR NO.1 by transferring and vesting the same to GALLANTT UDHYOG PRIVATE LIMITED /RESULTING COMPANY NO.2/ PETITIONOR NO.3 of the Scheme.

c) Agro Trading Division of NIHON IMPEX PVT LTD / DEMERGED COMPANY/PETITIONOR NO.1 by transferring and vesting the same to SHREE SURABHI WHEAT PRODUCTS PRIVATE LIMITED /RESULTING COMPANY NO.3/ PETITIONOR NO.4 of the Scheme.

d) Agro Marketing & Broking Division of NIHON IMPEX PVT LTD / DEMERGED COMPANY/PETITIONOR NO.1 by transferring and vesting the same to SHREE SURABHI FLOUR MILLS PRIVATE LIMITED /RESULTING COMPANY NO.4/ PETITIONOR NO.5 of the Scheme.

e) Real Estate & Infrastructure Division of NIHON IMPEX PVT LTD / DEMERGED COMPANY/PETITIONOR NO.1 by transferring and vesting the same to GALLANTT LIFESPACE DEVLOPERS PRIVATE LIMITED /RESULTING COMPANY NO.5/ PETITIONOR NO.6 of the Scheme.

hereto be sanctioned by this Hon'ble Tribunal to be binding with effect from 1st day of November, 2021 on NIHON IMPEX PVT LTD, GALLANTT INDUSTRY PRIVATE LIMITED, GALLANTT

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UDHYOG PRIVATE LIMITED, SHREE SURABHI WHEAT PRODUCTS PRIVATE LIMITED, SHREE SURABHI FLOUR MILLS PRIVATE LIMITED and GALLANTT LIFESPACE DEVLOPERS PRIVATE LIMITED and their shareholders and all concerned;

IN RELATION TO DEMERGER OF CEMENT DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 BY TRANSFERING AND VESTING OF THE SAME IN GALLANTT INDUSTRY PRIVATE LIMITED - RESULTING COMPANY NO.1 / PETITIONER NO. 2.

TRANSFER OF ASSETS:

b. All the properties, rights and interest of CEMENT DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 be transferred to and vested in without further act or deed in GALLANTT INDUSTRY PRIVATE LIMITED - RESULTING COMPANY NO.1 / PETITIONER NO. 2 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and vested in GALLANTT INDUSTRY PRIVATE LIMITED - RESULTING COMPANY NO.1 / PETITIONER NO. 2 for all the estate and interest of GALLANTT INDUSTRY PRIVATE LIMITED - RESULTING COMPANY NO.1 / PETITIONER NO. 2 but subject nevertheless to all charges, now affecting the same;

TRANSFER OF LIABILITIES:

c. All the liabilities and duties in relation to CEMENT DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY /

PETITIONER NO. 1 be transferred without further act or deed to GALLANTT INDUSTRY PRIVATE LIMITED - RESULTING COMPANY NO.1 / PETITIONER NO. 2 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 and read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and become the liabilities and duties of GALLANTT INDUSTRY PRIVATE LIMITED - RESULTING COMPANY NO.1 / PETITIONER NO. 2;

TRANSFER OF LEGAL PROCEEDINGS:

d. That all the proceedings and/or suit appeals now pending by or against or in relation to CEMENT DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 shall be continued by or against GALLANTT INDUSTRY PRIVATE LIMITED - RESULTING COMPANY NO.1 / PETITIONER NO. 2;

IN RELATION TO DEMERGER OF AGRO PROCESSING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 BY TRANSFERING AND VESTING OF THE SAME IN GALLANTT UDHYOG PRIVATE LIMITED - RESULTING COMPANY NO.2 / PETITIONER NO. 3.

TRANSFER OF ASSETS:

e. All the properties, rights and interest of AGRO PROCESSING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 be transferred to and vested in without further act or deed in GALLANTT UDHYOG PRIVATE LIMITED - RESULTING COMPANY NO.2 / PETITIONER NO.

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3 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and vested in GALLANTT UDHYOG PRIVATE LIMITED - RESULTING COMPANY NO.2 / PETITIONER NO. 3 for all the estate and interest of GALLANTT UDHYOG PRIVATE LIMITED - RESULTING COMPANY NO.2 / PETITIONER NO. 3 but subject nevertheless to all charges, now affecting the same;

TRANSFER OF LIABILITIES:

f. All the liabilities and duties in relation to AGRO PROCESSING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 be transferred without further act or deed to GALLANTT INDUSTRY PRIVATE LIMITED - RESULTING COMPANY NO.1 / PETITIONER NO. 2 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 and read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and become the liabilities and duties of GALLANTT UDHYOG PRIVATE LIMITED - RESULTING COMPANY NO.2 / PETITIONER NO. 3;

TRANSFER OF LEGAL PROCEEDINGS:

g. That all the proceedings and/or suit appeals now pending by or against or in relation to AGRO PROCESSING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 shall be continued by or against GALLANTT UDHYOG PRIVATE LIMITED - RESULTING COMPANY NO.2 / PETITIONER NO. 3.

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IN RELATION TO DEMERGER OF AGRO TRADING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 BY TRANSFERING AND VESTING OF THE SAME IN SHREE SURABHI WHEAT PRODUCTS PRIVATE LIMITED - RESULTING COMPANY NO.3 / PETITIONER NO. 4.

TRANSFER OF ASSETS:

h. All the properties, rights and interest of AGRO TRADING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 be transferred to and vested in without further act or deed in SHREE SURABHI WHEAT PRODUCTS PRIVATE LIMITED - RESULTING COMPANY NO.3 / PETITIONER NO. 4 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and vested in SHREE SURABHI WHEAT PRODUCTS PRIVATE LIMITED - RESULTING COMPANY NO.3 / PETITIONER NO. 4 for all the estate and interest of SHREE SURABHI WHEAT PRODUCTS PRIVATE LIMITED - RESULTING COMPANY NO.3 / PETITIONER NO. 4 but subject nevertheless to all charges, now affecting the same;

TRANSFER OF LIABILITIES:

i. All the liabilities and duties in relation to AGRO TRADING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 be transferred without further act or deed to SHREE SURABHI WHEAT PRODUCTS

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PRIVATE LIMITED - RESULTING COMPANY NO.3 / PETITIONER NO. 4 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 and read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and become the liabilities and duties of SHREE SURABHI WHEAT PRODUCTS PRIVATE LIMITED - RESULTING COMPANY NO.3 / PETITIONER NO. 4;

TRANSFER OF LEGAL PROCEEDINGS:

j. That all the proceedings and/or suit appeals now pending by or against or in relation to AGRO TRADING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 shall be continued by or against SHREE SURABHI WHEAT PRODUCTS PRIVATE LIMITED - RESULTING COMPANY NO.3 / PETITIONER NO. 4.

IN RELATION TO DEMERGER OF AGRO MARKETING & BROKING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 BY TRANSFERING AND VESTING OF THE SAME IN SHREE SURABHI FLOUR MILLS PRIVATE LIMITED - RESULTING COMPANY NO.4 / PETITIONER NO. 5.

TRANSFER OF ASSTES:

k. All the properties, rights and interest of AGRO MARKETING & BROKING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 be transferred to and vested in without further act or deed in SHREE SURABHI FLOUR MILLS PRIVATE LIMITED - RESULTING COMPANY NO.4 / PETITIONER NO. 5 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 read with

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Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and vested in SHREE SURABHI FLOUR MILLS PRIVATE LIMITED - RESULTING COMPANY NO.4 / PETITIONER NO. 5 for all the estate and interest of SHREE SURABHI FLOUR MILLS PRIVATE LIMITED - RESULTING COMPANY NO.4 / PETITIONER NO. 5 but subject nevertheless to all charges, now affecting the same;

TRANSFER OF LIABILITIES:

l. All the liabilities and duties in relation to AGRO MARKETING & BROKING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 be transferred without further act or deed to SHREE SURABHI FLOUR MILLS PRIVATE LIMITED - RESULTING COMPANY NO.4 / PETITIONER NO. 5 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 and read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and become the liabilities and duties of SHREE SURABHI FLOUR MILLS PRIVATE LIMITED - RESULTING COMPANY NO.4 / PETITIONER NO. 5;

TRANSFER OF LEGAL PROCEEDINGS:

m. That all the proceedings and/or suit appeals now pending by or against or in relation to AGRO MARKETING & BROKING DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 shall be continued by or against SHREE SURABHI FLOUR MILLS PRIVATE LIMITED - RESULTING COMPANY NO.4 / PETITIONER NO. 5.

IN RELATION TO DEMERGER OF REAL ESTATE & INFRASTRUCTURE DIVISION OF THE NIHON IMPEX PVT

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LTD - DEMERGED COMPANY / PETITIONER NO. 1 BY TRANSFERING AND VESTING OF THE SAME IN GALLANTT LIFESPACE DEVLOPERS PRIVATE LIMITED - RESULTING COMPANY NO.5 / PETITIONER NO. 6.

TRANSFER OF ASSETS:

n. All the properties, rights and interest of REAL ESTATE & INFRASTRUCTURE DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 be transferred to and vested in without further act or deed in GALLANTT LIFESPACE DEVLOPERS PRIVATE LIMITED - RESULTING COMPANY NO.5 / PETITIONER NO. 6 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and vested in SHREE SURABHI FLOUR MILLS PRIVATE LIMITED - RESULTING COMPANY NO.4 / PETITIONER NO. 5 for all the estate and interest of GALLANTT LIFESPACE DEVLOPERS PRIVATE LIMITED - RESULTING COMPANY NO.5 / PETITIONER NO. 6 but subject nevertheless to all charges, now affecting the same;

TRANSFER OF LIABILITIES:

o. All the liabilities and duties in relation to REAL ESTATE & INFRASTRUCTURE DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 be transferred without further act or deed to GALLANTT LIFESPACE DEVLOPERS PRIVATE LIMITED - RESULTING COMPANY NO.5 / PETITIONER NO. 6 and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 and read

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with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and become the liabilities and duties of GALLANTT LIFESPACE DEVLOPERS PRIVATE LIMITED - RESULTING COMPANY NO.5 / PETITIONER NO. 6;

TRANSFER OF LEGAL PROCEEDINGS:

p. That all the proceedings and/or suit appeals now pending by or against or in relation to REAL ESTATE & INFRASTRUCTURE DIVISION OF THE NIHON IMPEX PVT LTD - DEMERGED COMPANY / PETITIONER NO. 1 shall be continued by or against GALLANTT LIFESPACE DEVLOPERS PRIVATE LIMITED - RESULTING COMPANY NO.5 / PETITIONER NO. 6.

EMPLOYEES

q. Upon the Scheme becoming effective, all the employees of the 'Demerged Undertaking' of the Transferor Company / Demerged Company, in service on the Effective Date, shall be transferred to and shall become the employees of the Transferee Company / Resulting Company as provided in the Scheme of Arrangement;

FILING SCHEDULE OF ASSETS AND LIABILITIES JOINTLY BY THE DEMERGED COMPANY AND THE RSULTING COMPANY.

r. Upon coming into effect of the scheme, the DEMERGED COMPANY and the RESULTING COMPANY (IES) of the SCHEME shall jointly file the Schedule of Assets and Liabilities that is transferred by the DEMERGED COMPANY to the RESULTING COMPANY (IES) as annexed to the scheme within 60 days from the date of making of this order.

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INCREASE IN AUTHORISED CAPITAL BY THE RESULTING COMPANY (IES).

s. Upon coming into effect of the scheme the RESULTING COMPANY (IES) of the SCHEME shall if so required increased its authorized capital to the extent so as to permit it to allot shares under the scheme.

ASSESSMENT AND OTHER INCOME TAX PROCEEDINGS AGAINST THE DEMERGED COMPANY

t. All tax assessment proceedings and appeals of what so ever nature by or against the Demerged Company pending or arising as on the Effective Date shall be continued and or enforced by or against the Demerged Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Company. Further, the aforementioned proceedings shall never abate or discontinued nor be in any way prejudicially affected by reason of the Scheme of Arrangement of the Demerged Company with the Resulting Companies or anything contained in this Scheme.

u. All taxes (including, without limitation, income tax, wealth tax, sales tax, purchase tax, excise duty, customs duty, service tax, value added tax, goods and services tax etc.) paid or payable by the Demerged Company in respect of the operations and / or the profits of the Demerged Company before the Appointed Date, shall be on account of the Demerged Company and, in so far as it relates to the tax payment (including, without limitation, income tax, wealth tax, sales tax, purchase tax, excise duty, customs duty, service tax, value added tax, goods and service tax etc.) whether by way of deduction at source, advances tax or otherwise howsoever, by the Resulting

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Company in respect of the profits or activities or operation of the Resulting Company with effect from the Appointed Date, the same shall be deemed to be the corresponding tax/duty paid by the Demerged Company, and, shall in all proceedings, be dealt with accordingly.

ALLOTMENT OF SHARES BY THE RESULTING COMPANY (IES)

v. Upon coming into effect of the scheme and inconsideration for transfer and vesting of the Demerged Division of the Demerged Company:

(a) The Resulting Company No.1 shall allot equity shares to the Equity Shareholders of the Demerged Company.

(b) The Resulting Company No.2 shall allot equity shares to the Equity Shareholders of the Demerged Company.

(c) The Resulting Company No.3 shall allot equity shares to the Equity Shareholders of the Demerged Company.

(d) The Resulting Company No.4 shall allot equity shares to the Equity Shareholders of the Demerged Company.

(e) The Resulting Company No.5 shall allot equity shares to the Equity Shareholders of the Demerged Company.

FILING OF CERTIFIED COPIES WITH THE REGESTRAR OF COMPANIES.

w. Upon coming into effect of the scheme, the DEMERGED COMPANY and the RESULTING COMPANY (IES) shall file certified copies of the order received within 30 days from the date of passing of order.

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x. Any person interested be at liberty to apply to this Hon'ble Tribunal in the above matter for any direction that may be necessary;

18. The Petitioner(s) shall supply legible print out of the scheme and schedule of assets and liabilities in acceptable form to the department and the department will append such printout, upon verification to the certified copy of the order.

19. The Company Petition C.P (CAA) No. 12 / ALD / 2022 connected with Company Application C.A (CAA) NO 04 / ALD / 2022 is disposed of accordingly.

20. Certified copy of the order may be issued, if applied for, upon compliance with all the requisite formalities.

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Ashish Verma **Member (Technical)**	**Praveen Gupta** **Member (Judicial)**

Aditi Kharbanda
(LRA)